



StandardAero

Presented by: VioletStone Capital

TABLE OF CONTENTS

-
- Deal Summary
-
- Company Overview
-
- Industry & Competitor Analysis
-
- Value Creation Plan
-
- Risk & Opportunity
-
- Financing
-
- Model & Returns
-
- Bibliography
-

Deal Summary

Transaction Overview

- Target: StandardAero (NYSE: SARO)
- Transaction: Take-private LBO
- Entry TEV: **\$11.7B** (14.5x 2025A Adj. EBITDA of \$808M)
- Equity purchase price: \$9.8B
- Hold period: 5 years (close 2025YE → exit 2030YE)
- Exit assumption: 14.5x 2030E Adj. EBITDA (equal-in/equal-out)

Funding Overview

6.5x Leverage

55% / **45%**
EQUITY / DEBT

TLB (4.5x) = 3,637M
Sub Notes(2.0x) = 1,616M
Sponsor's Equity = 6,807M

Investment Thesis

- 1. Aftermarket tailwind** : Global MRO TAM \$123B → \$138B; SARO revenue \$6.1B → \$11.2B (13% CAGR) on shop visit growth, not new aircraft
- 2. Margin recovery** : Adj. EBITDA margin 13.3% → ~14% as LEAP learning curve matures and higher-margin CRS mix grows (~12% → ~14% of revenue)

Return Summary

Investment Case

19.42% **2.4x** \$6,807M
IRR MOIC |
\$16,336M

Management Case

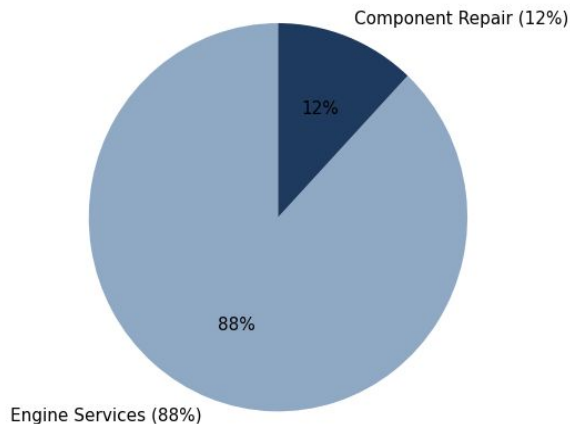
22.56% **2.8x** \$6,807M
IRR MOIC |
\$18,823M

Company Overview

Business Overview

- World's largest independent pure-play aerospace engine aftermarket services provider
- Provides engine MRO, component repair, on-wing support, asset management, and engineering solutions
- Serves commercial aviation, military/helicopter, and business aviation end markets
- Revenue tied to in-service aircraft utilization, engine shop visits, and maintenance cycles rather than new aircraft production

Revenue Mix by Segment (FY2025)



- Engine Services is the core revenue base; Component Repair drives margin expansion

Segments

Engine Services

~88% of Revenue

\$5.35B

+15.3% YoY

- Adj. EBITDA margin: **13.2%**
- Core engine maintenance, overhaul & repair
- Near-term margin pressure from LEAP engine ramp-up

Component Repair Services

~12% of Revenue | Key Margin Driver

\$708M

+19.6% YoY

- Adj. EBITDA margin: **28.6%** — 2× higher than Engine Svcs
- Boosted by Aero Turbine acquisition (Aug. 2024, ~\$132M)
- Growing 3–4pp faster annually than Engine Services

MOAT

OEM approvals limit competition

Ability to service key engine types requires OEM approval and long-standing relationships

Regulatory approvals are difficult to replicate

FAA ODA status allows in-house certification and is not widely held

Scale and customer relationships support pricing power

Established relationships and a broad customer base support pricing and retention

Business Stickiness

- ~80% of revenue under long-term agreements
- Diversified across ~5,000 customers and 3 end markets
- Revenue driven by engine usage and recurring maintenance cycles
- High repeat customer activity supports recurring stability

Core Management

Russell Ford

Chairman & CEO

CEO since 2013 · Led 2024 IPO · Deep aerospace background

Kimberly Ernzen

Chief Operating Officer (COO)

Joined 2024 · Ex-Raytheon senior leadership · Ops & supply chain

Daniel Satterfield

Chief Financial Officer (CFO)

Joined 2023 · Ex-Honeywell Aerospace CFO · M&A specialist

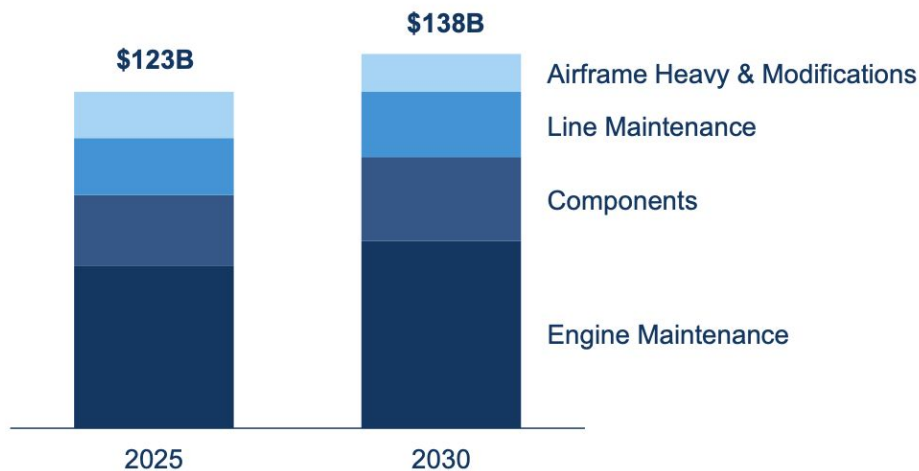
INDUSTRY ANALYSIS

Aviation aftermarket

The revenue logic of this industry is not the delivery of new aircraft, but the **continuous maintenance** demands after the fleet enters service. This determines that it is usually more "service-oriented, aftermarket, and sustainable" than OEM (Original Equipment Manufacturer).

Aviation Aftermarket Represents a Large, High-Growth Opportunity

Global MRO Total Addressable Market



MARKET DRIVERS

- ✓ Strong air travel growth
- ✓ Growing and aging global aircraft fleet
- ✓ New aircraft delivery constraints further extending aftermarket demand
- ✓ Airlines outsourcing maintenance
- ✓ Constrained capacity to meet aftermarket demand
- ✓ Increasing adoption of used (USM) parts

INDUSTRY ANALYSIS

Aviation aftermarket



LEAP overview

15%

Less fuel and CO₂
emissions vs. CFM56
engines

+70m

Flying hours

+150

Customers worldwide

600+

Operators worldwide

1.3+

Billion flight hours logged

34K+

CFM56 engines
delivered

Key figures about the CFM56 Family

COMPETITOR ANALYSIS

Target companies



AAR is a global aerospace and defense aftermarket solutions. AAR supports commercial and government customers through four operating segments: Parts Supply, Repair & Engineering, Integrated Solutions, and Expeditionary Services.



HEICO Corporation is a dynamic and expanding technology-driven company specializing in aerospace, industrial, defense, and electronics sectors. HEICO's products are integral components on large commercial, regional, business, and military aircraft, as well as diverse applications like industrial turbines, targeting systems, missiles, and electro-optical devices.



VSE substantially improves the productivity and lifespan of its customers' high-value, business-critical assets. Their Aviation segment is a top provider of aftermarket parts distribution and maintenance, repair, and overhaul (MRO) services for components and engine accessories, serving Commercial, Business and General Aviation and Rotorcraft operators.



MTU is not a "purely independent MRO" because it has OEM/ manufacturing attributes at the same time. However, its commercial maintenance volume is very large, and the proportion of maintenance business revenue is high. It is a very representative listing reference when doing the engine aftermarket.

VALUE CREATION PLAN

Gross Margin Improvement

Assumption: Materials are 71.5% of COGS, and tariff risk remains live even after the IEEPA ruling was struck down. LEAP industrialization savings are real but partially offset by inflationary labor pressures. The 10-K explicitly says "timing delays may impact margins" on tariff pass-throughs.

Year	2025A	2026E	2027E	2028E	2029E	2030E
Gross Margin	14.8%	14.8%	15.0%	15.2%	15.3%	15.4%
YoY Change	Baseline	Flat	+20bps	+20bps	+10bps	+10bps



Driver 1: LEAP Learning Curve

- The learning curve for maintenance providers remains steep, which would cause **short-term profit margin dilution** in 2025-2026.
- As StandardAero gradually expands the scale of its in-house maintenance for LEAP engines, the **labor hours** required per engine will **decrease**, economies of scale will be realized in parts procurement, and the **unit cost** of each "performance restoring overhaul" will **converge toward** the **mature and efficient** economic level already achieved in the CFM56 program.



Driver 2: Component Repair Services

- Standardaero's earnings presentation noted that the company is accelerating the development of its CRS business.
- For every **one percentage point** increase in the CRS business's share of revenue, the overall profit margin improves by approximately **15 basis points**, without the need for the company to implement any additional cost-cutting measures.
- Based on our assumptions, the CRS business is growing **faster** than the engine maintenance services business, with an annual growth rate typically **3 to 4 percentage points** higher. The company's overall gross margin will rise accordingly.



Driver 3: Low-Margin Passthrough Elimination

- In 2025, company management terminated and divested a series of contracts that passed on raw material costs with **near-zero profit margins**. This action has been formally confirmed in the company's 2025 10-K annual report.
- With these contracts fully eliminated from the consolidated income statement, their overall positive impact on the consolidated gross margin will be fully realized in **2026 and 2027**.

VALUE CREATION PLAN

SG&A /Revenue

Including \$26.9 million in IPO expenses, \$17.4 million in stock-based compensation expenses, and secondary offering expenses

Year	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
SG&A/Revenue	4.4%	4.9%	4.1%	4.1%	4.0%	4.0%	3.9%	3.9%
YoY Change	Baseline	+50bps	-80bps	Flat	-10bps	Flat	-10bps	Flat

Projection:

Total improvement over 5 years: -20bps.

- The 2025 10-K notes material weaknesses in internal controls requiring additional personnel and compliance investment. Remediation costs will partially offset the operating leverage from revenue growth.

Adj. EBITDA Margin

Year	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Adj. EBITDA Margin	12.3%	13.2%	13.3%	13.0%	13.5%	14.0%	14.3%	14.6%
YoY Change	Baseline	+90bps	+10bps	-30bps	+50bps	+50bps	+30bps	+30bps

- 2025: The ramp-up costs of the LEAP project and IPO-related expenses are the main drivers of pressure on profit margins.
- 2026-2030: We assume that business transformation costs (\$26M in 2025) won't go to zero as the company is still ramping LEAP and may need ongoing industrialization investment.
- **2026 (-30bps):** The costs incurred from the LEAP project will continue to impact profit margins in 2026. After taking private, we need to cut off public-company-specific add-backs.

VALUE CREATION PLAN

Management Incentive Plan

Structure

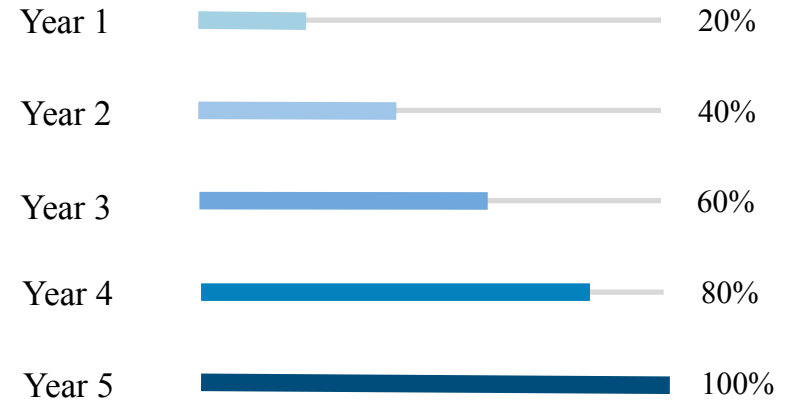
- Option Pool Size: 8% of exit equity value
- Hurdle: 1.5x MOIC

Role	% of MIP Pool
CEO	30%
COO	25%
CFO	20%
Broader senior team	15%
Reserved pool	10%

Illustrative Payout at exit

- 2.4x MOIC → Exceed the hurdle rate
- Total MIP Pool: ~\$1.4B
 - CEO: ~\$431M
 - COO: ~\$359M
 - CFO: ~\$287M

Vesting – 1: Time-based (40% of the pool)



Vesting – 2: Performance-based (60% of the pool)

- Payout Scale (% of performance)



KPI	Weight	Threshold	Target	Stretch
EBITDA Margin	70%	13.4%	14%	14.5%+
CRS Revenue CAGR	30%	10%	11.5%	13%+

RISK & OPPORTUNITY

ENGINE SERVICE REVENUE GROWTH OPPORTUNITY

What it is

- Engine Services is the most important upside driver in the model.
- LEAP / CFM56 maturation supports sustained demand growth.
- Aging engines and rising shop visits support elevated MRO demand.

Why StandardAero can capture it

- Long-term agreements underpin forward revenue visibility.
- Meaningful exposure and capability on key engine platforms.
- Demand is diversified across commercial aftermarket, defense, and business aviation.

What has to go right

- End-market demand must convert into StandardAero-specific workshare.
- Backlog must convert into realized revenue on schedule.
- Supply chain, labor, and capacity must absorb incremental volume.

Competitive dynamic

- OEMs may seek to recapture higher-value aftermarket work.
- Independent MRO peers may compete more aggressively on price, turnaround time, and delivery.

Model implication

- Stronger revenue improves fixed-cost absorption, supporting EBITDA, free cash flow, and deleveraging.
- Revenue growth is the operating foundation for the broader value-creation plan.

RISK & OPPORTUNITY

MARGIN REALIZATION RISKS

01 What it is

Margin realization risk is the most important downside risk to the value-creation plan.

The key issue is whether gross-margin improvement can be realized on schedule and at the magnitude assumed in the management case.

02 What could delay realization

OEM inflation may pressure gross margin if cost increases are not fully or promptly passed through.

Remediation costs may keep SG&A above management-case expectations.

LEAP-related ramp inefficiencies may delay the conversion of volume growth into profitability.

03 Competitive dynamic

OEMs and independent MRO peers may constrain pricing power through bundled offerings, aggressive pricing, and broader service capabilities. Competition in higher-margin repair categories may dilute the expected mix benefit.

04 What management must do

Execute the LEAP ramp efficiently and reduce early-stage inefficiencies.

Maintain pricing discipline and pursue timely cost pass-through.

Control SG&A growth as remediation progresses.

Prioritize higher-quality, higher-margin work as volume scales.

If margin realization is delayed, EBITDA and free cash flow underperform, deleveraging slows, and the value-creation plan becomes harder to realize.

FINANCING

SOURCES AND USES

Sources	\$M	xEBITDA	Uses	\$M
Revolver (undrawn)	\$0	1.0x avail.	Purchase of equity	\$9,794
Term Loan B	\$3,637	4.5x	Refinance existing debt	\$2,215
Senior Notes (HY)	\$1,616	2.0x	Financing fees	\$124
Total New Debt	\$5,253	6.5x	Transaction fees	\$117
Cash on B/S	\$290		Min cash on B/S	\$100
Sponsor Equity	\$6,807			
Total Sources	\$12,350		Total Uses	\$12,350

FEE STRUCTURE

- Financing fees: \$124M (TLB 2.75%, Sub 1.25%, RC 2.0%), amortized straight-line
- Transaction fees: \$117M (1.0% of offer value)
- Total fees: \$241M (capitalized in S&U)

COVENANT CHECK

	2026E	2028E	2030E
Net Debt / Adj. EBITDA	5.2x	3.7x	2.5x
FCCR	1.53x	2.03x	2.80x
Secured debt 7-yr paydown test	✓	✓	✓

MODEL & RETURNS

Operating Projections - Investment Case

(\$M)	2025A	2026E	2027E	2028E	2029E	2030E	'25-'30 CAGR
Revenue	6,063	6,818	7,746	8,686	9,659	10,568	11.8%
Growth %	—	12.5%	13.6%	12.1%	11.2%	9.4%	
Gross Profit	897	1,009	1,162	1,320	1,478	1,628	12.6%
GM %	14.8%	14.8%	15.0%	15.2%	15.3%	15.4%	+60bps
Adj. EBITDA	808	886	1,043	1,213	1,376	1,538	13.7%
Adj. EBITDA Margin	13.3%	13.0%	13.5%	14.0%	14.2%	14.5%	+120bps
FCF (post-tax)	—	569	634	749	850	973	
Net Debt	5,092	5,029	4,966	4,849	4,693	4,494	
Net Leverage	6.3x	5.7x	4.8x	4.0x	3.4x	2.9x	

Revenue Drivers : Engine Services 10.8% CAGR (LEAP/CFM56 shop visits); Component Repair 14.6% CAGR (Aero Turbine + military); M&A adds \$233M by 2030

Margin Path : Near-term Adj. EBITDA margin dip in 2026 (LEAP ramp) before recovering to 14.5% by 2030; +60bps GM expansion on mix shift and learning curve

Cash Generation : \$569M → \$973M FCF; \$5.0B cumulative through hold period funds prepayment, M&A, and OEM authorizations

MODEL & RETURNS

	Investment Case	Management Case	Downside Case
Assumption	LEAP ramp delays, tariff drag, remediation costs	Full LEAP industrialization realized; M&A accretes	LEAP delay 3pts Yrs 1-2; OEM inflation; no M&A
Engine Svc growth ('25-'30 avg)	11.8%	12.7%	8.2%
CRS growth ('25-'30 avg)	14.6%	16.0%	14.0%
2030 Adj. EBITDA margin	14.5%	15.3%	13.0%
2030 Adj. EBITDA	\$1,538M	\$1,696M	\$1,210M
MOIC	2.4x	2.8x	1.8
IRR	19.4%	22.6%	12.36%

✓ **Investment Case** : 2.4x MOIC clears 1.5x MIP hurdle by 60%; ~\$5.7B equity cushion

↑ **Management Case** : ~320bps IRR upside on \$1.6B incremental EBITDA over hold

↓ **Downside Case** : 1.8x MOIC at 12.4% IRR; 80% LTA + 55% equity cushion protects principal

MODEL & RETURNS

Sensitivity Analysis - Investment Case

IRR Sensitivity

		Exit Multiple			
		12.5x	13.5x	14.5x	15.5x
Entry Multiple	19.42%	21.51%	23.92%	26.15%	28.24%
	12.5x	18.00%	20.34%	22.51%	24.54%
	13.5x	15.02%	17.30%	19.42%	21.40%
	14.5x	12.45%	14.68%	16.75%	18.68%
	15.5x	10.18%	12.37%	14.40%	16.29%

MOIC Sensitivity

		Exit Multiple			
		2.4x	12.5x	13.5x	15.5x
Entry Multiple	2.4x	2.6x	2.9x	3.2x	3.5x
	12.5x	2.3x	2.5x	2.8x	3.0x
	13.5x	2.0x	2.2x	2.4x	2.6x
	14.5x	1.8x	2.0x	2.2x	2.4x
	15.5x	1.6x	1.8x	2.0x	2.1x

Sources of Value	\$M	% of value
Sponsor equity invested	-6,807	—
+ EBITDA growth (\$808M → \$1,538M @ 14.5x)	10,576	~93%
+ Multiple expansion (equal-in/equal-out)	0	0%
+ Net debt paydown (\$5,092M → \$4,324M)	769	~7%
= Gross value creation (100% basis)	11,345	100%
+ Recovery of sponsor entry equity claim	6,626	
= Total exit equity (pre-MIP)	17,971	
– MIP dilution (8% of exit equity)	-1,438	
= sponsor proceeds	16,533	
Net value created	9,727	2.43x MOIC / 19.4% IRR



Q&A

Presented by: VioletStone Capital

BIBLIOGRAPHY

Company Filings and Investor Materials

- StandardAero Investor Relations. **Investor Presentation** (Mar. 13, 2026).
- StandardAero Investor Relations. **FY 2025 Annual Report / 10-K** (fiscal year ended Dec. 31, 2025).
- StandardAero Investor Relations. **SEC Filings** page.
- U.S. Securities and Exchange Commission. **Form S-1** for StandardAero, filed Sept. 6, 2024.

Industry & Market Sources

- Aviation Week, **2025 Commercial Fleet & MRO Market Summary Report**
- Deloitte, **Aerospace and Defense Industry Outlook**

Relevant Public Company References

- AAR, **Annual Report / 10-K, FY2025**
- HEICO, **Annual Report / 10-K, FY2025**
- VSE, **Annual Report / 10-K, FY2025**
- MTU Aero Engines, **Annual Report, FY2025**

Course Guidance

- NYU Private Equity Finance course slides
- Team-prepared operating model and case assumptions

APPENDIX A: COMPETITOR ANALYSIS



Financial Statistics Analysis - Fiscal Year of 2025

Companies	StandardAero	AAR	HEICO	VSE Corp.	MTU
Market Cap	9590 M	3290 M	38380 M	4040 M	20654 M
Sales	6063 M	2748 M	4485 M	1112 M	9464 M
EBITDA	808 M	324 M	1220 M	128 M	1941 M
EPS	0.83	3.91	4.90	3.92	20.41
Shares Standing	332.65M	39.76M	139.52M	28.06M	107.8M
Adj. Net Leverage	2.4x	2.72x	1.6x	1.24x	0.6x
Revenue growth	15.8%	18.5%	16%	41%	18.3%
Adj. Op. Margin	13.2%	9.7%	22.7%	8.1%	15.5%
Cash	209 M	86 M	162 M	69 M	1356 M
MRO%	90%+	55%	60%	70%	70%

APPENDIX B: RISK & OPPORTUNITY

KEY RISKS

Revenue Capture

LEAP / CFM56 aftermarket maturation should support sustained growth in Engine Services.

Long-term agreements underpin meaningful forward revenue visibility, supporting greater revenue durability through the forecast.

An aging installed base should continue to support MRO demand through 2030.

Elevated military spending may provide additional support for demand.

Business aviation fleet expansion should broaden the installed base requiring recurring aftermarket support.

Continued outgrowth in Component Repair Services provides an additional top-line growth vector.

Long-term agreements (~80% of revenue) provide strong revenue visibility and durability through the forecast period.

Cash Flow

Normalization from the elevated 2025 effective tax rate should support stronger after-tax cash generation.

Improved operating performance should translate into stronger FCF conversion and faster deleveraging.

Margin Realization

LEAP learning-curve benefits should progressively reduce industrialization drag.

Mix migration toward higher-margin Component Repair Services should support consolidated gross-margin expansion.

Operating leverage against a relatively fixed cost base should enhance incremental profitability as volume scales.

Partial pass-through of material cost inflation should help preserve gross margin.

Post-IPO one-time cost roll-off should reduce SG&A burden versus prior periods.

Further SG&A leverage should be achieved as revenue scales faster than corporate overhead and sales-force expense.

Capital Allocation Flexibility

Weaker operating execution may reduce FCF conversion versus plan.

Lower FCF would likely **slow deleveraging** and defer equity value creation over the hold period.

APPENDIX C: RISK & OPPORTUNITY

KEY RISKS

Revenue Capture

LEAP ramp delays may defer the conversion of end-market demand into realized Engine Services revenue.

Backlog monetization may take longer than expected, delaying rather than eliminating revenue realization.

Phoenix-related disruption and a prolonged government shutdown may temper recovery in Component Repair Services.

Potential defense budget pressure could constrain recovery in military-linked repair demand.

Capital Allocation Flexibility

Reduced cash generation may eliminate practical capacity for bolt-on acquisitions.

Higher leverage may constrain share repurchases under covenant limitations.

Reduced discretionary cash flow may limit both **accelerated debt paydown** and **broader capital deployment flexibility**.

Margin Realization

OEM-related inflation may compress gross margin and delay the anticipated profitability ramp.

Material weakness remediation costs may keep SG&A above management-case expectations.

SG&A may prove less scalable than assumed if remediation, compliance, or support costs persist longer than expected.

LEAP-related dilution and early ramp inefficiencies may weigh on near-term EBITDA margins.

Cash Flow

Weaker operating execution may reduce FCF conversion versus plan.

Lower FCF would likely **slow deleveraging** and defer equity value creation over the hold period.